Benjamin Graham
1894–1976

Benjamin Graham is considered the father of modern securities analysis; his most famous protégé is Warren Buffett. It was a poverty-stricken upbringing in New York City, where he had to use brains rather than brawn to survive the streets, that cemented Graham's persona. The years of poverty, Graham said, "had developed in my character a serious concern for money, a willingness to work hard for small sums, and an extreme conservatism in all my spending habits." After graduating from Columbia University, Graham was offered teaching positions in three of its departments: literature, mathematics, and philosophy. However, he had his family to support (his father died when he was nine), so he took a position with a Wall Street firm as an apprentice in the bond department.

Graham's academic orientation, which made him "searching, reflective, and critical," proved an asset. In addition, he said, "I was able to add to these qualities two others which generally do not accompany the theoretical bent: first, a good instinct for what was important in a problem or a situation and the ability to avoid wasting time on inessentials; and second, a drive towards the practical, towards getting things done, towards finding solutions, and especially towards devising new approaches and techniques." When offered a promotion to bond salesman, Graham declined, and instead suggested that he would be more valuable in statistical or risk analysis.

After nine years on Wall Street, Graham formed his own company. It was a heady time, of which he said, "I was too ready to accept materialistic success as the aim and goal of life and to forget about idealistic achievements." The glorious break from abject poverty would explain the momentary frivolous outlook; however, there was a definite alter ego to the "Dean of Wall Street," who had a penchant for blondes and married three times. According to Buffett, Graham wanted "to do something creative, something foolish, and something generous everyday." Graham's conservative side is on display in *The Art of Hedging,* in which he explains how investors can protect themselves through various hedging techniques.